

Dairy Farm Cost Summary

1. Energy Cost

\$0.73–\$1.08 per cwt of milk (varies by compressor type); 800–1,200 kWh per cow per year total.

MDPI Energies (2020):

<https://www.mdpi.com/1996-1073/13/5/1288>

ATTRA / NCAT.org:

<https://attra.ncat.org/publication/dairy-farm-energy-efficiency/>

2. Water Use Cost

~29.9 gallons per cow per day total; roughly 4.5 gallons of water to produce 1 gallon of milk. Wastewater hauling runs \$0.01–\$0.03 per gallon.

MSU Extension:

https://www.canr.msu.edu/news/water_use_on_dairy_farms

Journal of Dairy Science (2017):

<https://www.sciencedirect.com/science/article/pii/S0022030217310731>

3. Milk Production Cost

\$24.23 per cwt in 2023. Average milk price received was \$20.84/cwt, meaning most producers operated at a loss. Feed alone accounted for \$12.78/cwt (~53% of total cost).

farmdoc daily, Univ. of Illinois (Dec 2024):

<https://farmdocdaily.illinois.edu/2024/12/economic-review-of-milk-costs-in-2023-and-projections-for-2024-and-2025.html>

USDA ERS:

<https://www.ers.usda.gov/data-products/milk-cost-of-production-estimates>